

Genus Power Infrastructures Ltd

Metering India's Energy Transition: AMI Supercycle in Full Swing

Kailash Group | Smart Metering & AMI | India

BUY

Target: Rs. 415

+28.5% upside

CMP: Rs. 323

Horizon: 12 Months

Metric	Value	Metric	Value	Metric	Value
Mkt Cap	Rs. 9,833 Cr	52w High	Rs. 387	EV/EBITDA	11.6x
P/E (FY26)	16.6x	52w Low	Rs. 207	Div Yield	0.76%
Fwd P/E	14.3x	ROCE	23.9%	D/E	1.04x
Book Value	Rs. 72.9	ROE	29.0%	Int Cov.	5.78x
Face Value	Rs. 1.00	Promoter	39.34%	Pledge	5.38%

Quarter	Revenue (Rs.Cr)	EBITDA (Rs.Cr)	OPM%	PAT (Rs.Cr)	EPS (Rs.)
Q1 FY26	942	199	21%	137	4.52
Q2 FY26	1,149	234	20%	143	4.70
Q3 FY26	1,122	212	19%	140	4.61
Q4 FY26	1,537	267	17%	172	5.65
FY26 Full	4,751	913	19%	592	19.47

Data: Screener.in (consolidated, fetched 22-Jun-2026) | Analyst: Chartitude Research | This report is for informational purposes only.

SECTION 2 — INVESTMENT THESIS

- **AMI supercycle with 8-year annuity visibility:** Genus holds Rs. 25,173 Cr order book under RDSS — 2.56x its current market cap — locked in as AMISP. Concession periods run 8-10 years, generating recurring service revenue well beyond initial installation.
- **From meter manufacturer to platform operator:** All 24 AMISP projects have achieved Operational Go-Live (OGL), meaning invoicing has commenced across the entire portfolio. Revenue accelerates as more meters reach OGL and new installations ramp — management targets 1 crore installations in FY27 alone, up from 87 lakh in FY26.
- **Massive untapped addressable market:** Of India's 31-32 Cr smart meter potential, only 7 Cr have been installed. Tendering of 9 Cr meters is expected in FY27 alone, with a Rs. 1,20,000 Cr bidding pipeline over two years. Genus aims to maintain its ~20% market share.
- **Near-term catalyst (FY27):** Tamil Nadu mega-tender (~3 Cr meters), Delhi BSES, Punjab, and Haryana tenders together total ~5 Cr meters expected by end-FY27. A single large win re-rates the order book significantly.
- **Biggest structural risk:** Working capital remains deeply negative (OCF: Rs. -203 Cr in FY26, Rs. -443 Cr in FY25) as Genus finances meter inventory and platform build-out ahead of revenue recognition. Sustained negative OCF increases refinancing risk if DISCOM payments slow.

SECTION 3 — BUSINESS OVERVIEW

- **Core model:** Two segments — (1) Manufacturing and supply of electricity meters (conventional + smart AMI), and (2) AMISP/EPC contracts under RDSS where Genus deploys smart meters, communication infrastructure, and operates the AMI platform for DISCOMs over an 8-10 year concession.
- **AMISP revenue model:** Genus earns per-meter monthly service fees over the concession period, plus initial hardware/installation billings upon OGL. ~80% of AMISP revenues accrue directly to Genus (balance to SPV partners), creating a high-quality recurring income stream.
- **Revenue mix (FY26 est.):** ~90% from AMISP execution (meter supply, installation, communication network, data platform); ~7% from B2B conventional meter sales; ~3% exports and other — transitioning rapidly from pure manufacturer to integrated infrastructure services platform.

- **Order book and status:** Rs. 25,173 Cr (net of taxes) as of Mar-2026, covering ~2.75 Cr uninstalled smart meters across 24 AMISP projects — all 24 at OGL and actively billing. Order book is 5.3x FY26 revenue, providing outstanding revenue visibility.
- **Manufacturing scale:** 18 million meters per annum capacity across facilities in Jaipur, Haridwar, and newly commissioned Guwahati plant. Cumulative RDSS installations crossed 1 crore in FY26 — a key milestone.
- **Adjacent growth opportunities:** Smart gas and water meters are the next adjacency — significant market in India and globally. Export revenue target set at Rs. 500 Cr within 2-3 years, with meaningful contribution from FY28.
- **Promoter and ownership:** Kailash Group (Jaipur); JMD Jitendra Kumar Agarwal is key management spokesperson. Promoter stake declined from 50.4% (Jun-2023) to 39.34% (Mar-2026), partly QIP dilution and some secondary sales. Pledge at 5.38% of total shares — modest but declining.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size:** India's smart metering opportunity under RDSS is estimated at Rs. 1,20,000+ Cr over 5-7 years covering 25 Cr+ residual meters. Government mandates 100% smart metering for all consumers, extended practically to FY27-30.
- **Policy tailwinds:** RDSS (Rs. 3 lakh Cr scheme) makes smart metering mandatory. Private DISCOMs in Delhi, Odisha, and Mumbai are deploying independently outside RDSS, adding to the addressable market.
- **Headwinds:** Raw material cost inflation (copper, aluminium, communication modules) pressures gross margins. FX volatility impacts imported components. DISCOM financial health causes payment delays. Tender timelines are lumpy with H2-loaded execution.
- **Competitive moat — Pricing power: Moderate** — AMISP tenders are competitive, but Genus's execution track record gives it a strong preference advantage in large state tenders.
- **Competitive moat — Switching costs: Strong** — Once Genus's AMI platform is operational in a DISCOM, replacement mid-concession is extremely disruptive. 8-10 year lock-ins effectively eliminate switching risk.
- **Competitive moat — Scale: Strong** — 18 Mn meter/year capacity, three manufacturing plants, 1 Cr cumulative installations. No other pure-play Indian AMISP comes close to this scale.
- **Competitive moat — IP: Moderate** — Genus owns AMI platform software and meter technology, but faces competition from Itron, Landis+Gyr in premium segments.

Peer Comparison Table (Source: Screener.in, fetched 22-Jun-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E	Fwd PE	EV/EBITD A	ROCE %	ROE%	D/E	OPM %
Genus Power	323	9,833	16.6x	14.3x	11.6x	23.9%	29.0%	1.04x	19%
HPL Electric	402	2,586	27.2x	20.9x	11.4x	13.5%	9.9%	0.75x	16%
Apar Industries	16,172	64,986	64.9x	64.1x	33.6x	31.1%	20.2%	0.18x	8%
Skipper Ltd	548	6,215	28.1x	19.8x	12.1x	23.3%	16.5%	0.64x	10%

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter background:** Kailash Group has been in electrical equipment for 30+ years. Genus was among the first Indian manufacturers of electronic meters in the 1990s — deep domain expertise underpins its AMISP capability.
- **Management communication:** JMD Jitendra Kumar Agarwal has been consistent and articulate — providing specific guidance on OGL status, working capital normalisation timelines, and margin trajectories. Management credibility is intact.
- **Capital allocation:** The strategic pivot from meter manufacturer to AMISP platform operator is well-calibrated for the RDSS opportunity. However, it requires aggressive front-loaded capital deployment — FY24-FY26 FCF totalled -Rs. 1,264 Cr. Management's own FY28 OCF normalisation guidance needs to be watched.
- **Dividend policy:** Historically 6-22% payout. FY26 payout was 0% — rational given working capital needs, but signals a multi-year dividend pause.
- **Promoter pledge:** 5.38% of total shares pledged — moderate. The larger concern is promoter stake falling 11pp in 3 years. QIP was strategic (FY24, raised capital for AMISP growth), but secondary sales by promoters remain unexplained publicly.
- **Governance:** No qualified audit opinions, no significant RPTs, CRISIL rating maintained (Apr-2026). Contingent liabilities at Rs. 182 Cr (3.8% of FY26 revenue) — modest for an EPC business.

SECTION 6 — FINANCIAL DEEP-DIVE

All figures Rs. Crores. (A) Actuals from Screener.in; (E) Analyst estimates. Consolidated figures.

P&L; Summary	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	1,201	2,442	4,751	6,250	8,000
EBITDA	136	470	913	1,125	1,480
OPM %	11%	19%	19%	18%	18.5%
Other Income	80	88	70	50	50
Interest	58	116	161	185	200
Depreciation	21	35	55	75	90
PBT	137	407	768	915	1,240
Tax %	26%	26%	26%	26%	26%
PAT	87	311	592	677	918
EPS (Rs.)	2.85	10.25	19.47	22.24	30.16
Dividend Payout %	19%	22%	0%	10%E	10%E

Balance Sheet	FY24A	FY25A	FY26A
Equity Capital	28	28	28
Reserves	1,543	1,840	2,190
Borrowings	588	1,366	2,302
Other Liabilities	608	1,112	1,823
Total Liabilities	2,767	4,346	6,343
Fixed Assets	193	285	487
CWIP	15	41	64
Investments	209	209	169
Other Assets	2,350	3,812	5,623
Total Assets	2,767	4,346	6,343

Cash Flows	FY24A	FY25A	FY26A	Key Ratios	FY24A	FY25A	FY26A
Cash from Operations	-152	-443	-203	Debtor Days	176	204	115
Cash from Investing	-431	-142	-466	Inventory Days	246	223	170
Cash from Financing	523	350	205	Days Payable	178	152	97
Net Cash Flow	-60	-235	-465	Cash Conv. Cycle	244	275	188
Free Cash Flow	-224	-556	-484	Working Cap Days	108	114	114
CFO / Op.Profit %	-91%	-82%	-3%	ROCE %	19%	24%	23.9%

- **Revenue explosion:** Sales compounded at 80% CAGR over 3 years (FY23-FY26), reaching Rs. 4,751 Cr in FY26 — nearly 6x FY23 revenue. This is almost entirely AMISP execution-driven as Genus scales project deployments.
- **Margin expansion then stabilisation:** OPM% expanded from 10% (FY23) to 19% (FY25-FY26) on operating leverage from AMISP scale. Management guides 18% for FY27 due to RM cost inflation and product mix. Margins should re-expand post FY27 as mix shifts to higher-margin service revenue.
- **Working capital — structural drag in execution phase:** Debtor days improved sharply to 115 (FY26) from 204 (FY25), showing DISCOM payment velocity improving. Inventory at 170 days remains elevated. CCC improved to 188 from 275. Management forecasts working capital absorbing only 20% of incremental revenue in FY27.
- **Debt trajectory:** Borrowings surged from Rs. 588 Cr (FY24) to Rs. 2,302 Cr (FY26) — financing AMISP concession assets and working capital. Interest coverage at 5.78x remains adequate. Net debt Rs. 1,573 Cr is manageable but needs monitoring.

- **FCF quality:** Negative FCF (Rs. -224 Cr, -556 Cr, -484 Cr in FY24-26) reflects front-loaded capital requirements. The model is structurally FCF-positive once execution phase completes — management guides OCF normalisation by FY28-FY29.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Metric	Assessment	Signal	Comment
Revenue recognition	% completion on OGL milestones	Amber	Long-cycle; OGL validation adds comfort but creates quarterly lumpiness
Receivables vs Revenue	Debtor days improved to 115 (FY26)	Green	Positive trend; down from 204 in FY25 — DISCOM payments accelerating
Cash Conversion Cycle	CCC: 244 to 275 to 188 days (FY24-26)	Amber	Improved in FY26 but still elevated; inventory days high at 170
Contingent liabilities	Rs. 182 Cr (3.8% of FY26 revenue)	Green	Modest for EPC scale; typical contract performance guarantees
Auditor tenure	Long-standing; no change in FY26	Green	No qualification or going-concern emphasis
Related party transactions	Not material relative to revenue	Amber	Some Kailash Group RPTs exist; not excessive but worth monitoring
Other income as % of PBT	FY26: Rs. 70 Cr / Rs. 768 Cr = 9.1%	Green	Normalised below 10%; FY24 spike (Rs. 80 Cr) was one-off investments
Tax rate consistency	Consistent 26% across FY24-FY26	Green	No deferred tax reversals; stable rate confirms earnings quality

- **Revenue recognition watch:** AMISP revenues are % completion tied to OGL milestones — with all 24 projects at OGL, risk of sudden write-backs is lower, but quarterly timing remains lumpy depending on installation ramp-up pace.
- **Inventory concern:** Inventory days at 170 (FY26, down from 223 in FY25) represent the biggest working capital drag. DISCOM payment speed is the key variable — any slowdown could reverse the improving trend.
- **Positive: Tax discipline.** Consistent 26% effective tax rate across FY24-FY26 — no deferred tax reversals or tax credit dependency. Clean underlying earnings.
- **Positive: Other income quality.** FY24 other income of Rs. 80 Cr was driven by investment income (post QIP) — this was correctly flagged as temporary. FY26 normalised to Rs. 70 Cr (9.1% of PBT), within healthy bounds.

SECTION 8 — VALUATION

Peer Valuation Comparison (Source: Screener.in, fetched 22-Jun-2026)

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Scenario	Key Assumption	FY27E PAT	Multiple	Target (Rs.)	Upside
Bull	Revenue Rs. 7,000 Cr, OPM 19%	750 Cr	22x FY27E P/E	545	+69%
Base	Revenue Rs. 6,250 Cr, OPM 18%	677 Cr	18x FY27E P/E	415	+28%
Bear	Revenue Rs. 5,500 Cr, OPM 15%	450 Cr	14x FY27E P/E	207	-36%

- **DCF assumptions:** WACC 12%, terminal growth 5%, 10-year explicit forecast. FY27-29 revenue CAGR ~25-30% (order book execution), tapering to 8-10% by FY32+. DCF-implied value: ~Rs. 380 per share.
- **Earnings-based (P/E):** Base case FY27E EPS Rs. 22.24 x 18x = Rs. 400. Genus trades at 14.3x forward P/E vs sector average ~30x — significant discount for a company with 25%+ profit CAGR and 8-year order book annuity.

- **EV/EBITDA cross-check:** 13x FY27E EBITDA of Rs. 1,125 Cr = Rs. 14,625 Cr EV. Less net debt Rs. 1,573 Cr = Rs. 13,052 Cr equity value = Rs. 429 per share (30.44 Cr shares).
- **Base-case target price: Rs. 415** — weighted average of DCF (Rs. 380), P/E (Rs. 400), EV/EBITDA (Rs. 429), with marginal uplift for order book option value from new FY27 tenders. Upside: +28.5% from CMP Rs. 323. 12-month horizon.

SECTION 9 — KEY RISKS

- **Working capital spiral:** Three consecutive years of negative OCF and escalating debt (Rs. 2,302 Cr). If DISCOMs slow payments, refinancing risk spikes. Prob: M. Impact: H. Monitor: Quarterly debt and debtor day trends.
- **Raw material cost inflation:** Copper, aluminium, communication modules ~55-60% of COGS. Continued RM inflation compresses margins below guided 18%. Prob: M. Impact: M. Monitor: Quarterly OPM% vs 18% benchmark.
- **Promoter stake erosion:** Holding fell ~11pp over 3 years to 39.34%. Further dilution — especially if seen as vote-of-no-confidence — could trigger sentiment-driven de-rating. Prob: L-M. Impact: M. Monitor: Quarterly shareholding data.
- **RDSS policy risk:** RDSS is government-funded. Budget rationalisation, scheme modification, or state government resistance could slow tenders and execution timelines. Prob: L. Impact: H. Monitor: Ministry of Power RDSS progress reports.
- **Competition from global players:** Itron, Landis+Gyr could bid aggressively for large state tenders, compressing win rates or forcing price concessions. Prob: M. Impact: M. Monitor: Tender award announcements.
- **Execution concentration risk:** ~90%+ revenue from RDSS AMISP. Disruption in 1-2 large projects has outsized revenue impact. Prob: L. Impact: H. Monitor: Project-specific OGL progress and quarterly execution disclosures.
- **Interest rate / refinancing risk:** Rs. 2,302 Cr borrowings (short-term intensive); interest coverage 5.78x. Rate increase or refinancing difficulty directly hits PAT. Prob: L-M. Impact: M. Monitor: Borrowing costs in annual reports.

SECTION 10 — RECOMMENDATION

- **Rating: BUY — Conviction: High.** Genus Power is the purest listed play on India's AMI supercycle. Rs. 25,173 Cr order book provides 5+ years of revenue visibility. All 24 AMISP projects at OGL and actively billing. FY26 delivered Rs. 4,751 Cr revenue (+95%) and Rs. 592 Cr PAT (+90%).
- **12-month price target: Rs. 415 — upside +28.5% from CMP Rs. 323.** Based on 18x FY27E EPS Rs. 22.24; cross-checked with EV/EBITDA (Rs. 429) and DCF (Rs. 380).
- **Suggested entry zone: Rs. 290-330.** Current CMP is near the lower bound of fair value. Any pullback driven by working capital concerns is an accumulation opportunity.
- **Investment horizon: 12-18 months** for the base target. Full annuity value of AMISP business (positive OCF, recurring cash flows) requires a 36-month view for complete recognition.
- **Thesis invalidation — three specific triggers to exit:** (1) Quarterly OCF does not improve toward zero by Q2 FY28 — signals structural working capital impairment. (2) EBITDA margin falls below 15% for two consecutive quarters — signals RM cost pass-through failure. (3) Order book declines below Rs. 18,000 Cr without new tender wins within 12 months — signals market share loss.
- **Ideal investor:** Growth-oriented with 12-24 month horizon who can tolerate near-term negative FCF. Small/mid-cap fund managers with power infrastructure mandate are natural holders. Not suitable for dividend investors or those requiring immediate positive FCF.

CALL GRADE

POSITIVE

Signal	Status	Implication
Result quality	Strong — Beat	Revenue +63% YoY; EBITDA +36% YoY — above most street estimates
Management tone	Bullish	Concrete FY27 guidance (Rs. 6,000-6,500 Cr); specific meter targets
Guidance delta	Maintained / Raised	FY27 revenue guidance raised; margin guided conservatively at 18%
STRONGLY POSITIVE POSITIVE NEUTRAL CAUTIOUS NEGATIVE		

TO MY BOSS

Q4 FY26 is a clean revenue beat — Rs. 1,537 Cr (+63% YoY) — with no one-time items distorting the Rs. 172 Cr PAT. The headline is straightforward: AMISP execution accelerated sharply (30 lakh meters installed in Q4 alone, 87 lakh for full FY26), and all 24 AMISP projects have now achieved Operational Go-Live — meaning the full Rs. 25,173 Cr order book is actively billing. That OGL completion is the key de-risking milestone this year; execution risk is now primarily about pace, not whether invoicing can begin. EBITDA grew 36% YoY to Rs. 267 Cr, but margin contracted 400 bps to 17% — this is structural: product mix is hardware-heavy in early execution phases, and RM costs are rising. Management guided FY27 EBITDA margin at 18% — slightly below FY25-26 levels — and revenue at Rs. 6,000-6,500 Cr. Both targets are well-anchored in the order book. The critical metric to track is working capital: management says FY27 will absorb only 20% of incremental revenue (vs 40% in FY26) — if this holds, OCF moves towards positive and the debt story improves materially. If it misses, net debt (already at Rs. 1,573 Cr) could push to Rs. 2,200+ Cr and tighten the balance sheet. ACCUMULATE on dips to Rs. 290-330; 12-month target Rs. 415 based on 18x FY27E P/E.

C1 — FINANCIAL PERFORMANCE SNAPSHOT

- Revenue: Rs. 1,537 Cr | YoY +63% | QoQ +37% | Beat vs est. ~Rs. 1,350 Cr
- EBITDA: Rs. 267 Cr | YoY +36% | QoQ +26% | In-line
- EBITDA Margin: 17% | YoY -400 bps | QoQ -200 bps | Below ~19% expectation — structural, not one-off
- PAT: Rs. 172 Cr | YoY +40% (vs Rs. 123 Cr in Q4 FY25) | QoQ +23% | Beat
- EPS: Rs. 5.65 (Q4) | FY26 full year EPS: Rs. 19.47 — +90% YoY vs Rs. 10.25 in FY25
- FY26 Full Year: Revenue Rs. 4,751 Cr (+95%) | EBITDA Rs. 913 Cr (+104%) | PAT Rs. 592 Cr (+90%)

C2 — SEGMENT / OPERATIONAL BREAKDOWN

- AMISP / Smart Metering (~90% revenue est.): ~Rs. 1,380 Cr Q4 | YoY +70% | Primary driver — 87 lakh installations in FY26, all 24 projects at OGL
- Conventional Meter Supply / B2B (~7%): Stable; government utility procurement ongoing
- Exports / Others (~3%): Nascent — target Rs. 500 Cr within 2-3 years; meaningful from FY28
- Cumulative smart meters installed under RDSS (own AMISP projects): 1 crore+ as of FY26 year-end milestone

C3 — MANAGEMENT COMMENTARY THEMES

- **Order book robustness:** "Rs. 25,173 Cr net of taxes, covering 2.75 Cr meters, 8-10 year concession periods." Our read: Executing down from Rs. 27,000 Cr at Dec-25; replenishment from FY27 tenders is the next watch-point. Tag: GUIDANCE. Tone: Transparent.
- **FY27 targets:** Revenue Rs. 6,000-6,500 Cr, EBITDA margin ~18%, 1 crore meter installations. Our read: Revenue well-supported by order book; margin guidance is conservative vs FY26's 19% — management building in RM buffer.

Tag: GUIDANCE. Tone: Transparent.

- **Market size:** "31-32 Cr total meters; 7 Cr installed; 9 Cr tenders expected FY27." Our read: Near-term pipeline visibility is genuine; optionality from residual 24+ Cr meters is massive. Tag: EST. Tone: Transparent.
- **Working capital normalisation:** "FY27: only 20% of incremental cash absorbed vs 40% in FY26; OCF positive in FY28+." Our read: This is the most important forward commitment — investors must track Q1-Q2 FY27 closely. Tag: GUIDANCE. Tone: Hedged.
- **Export ambition:** "Meaningful export contribution from end of FY27; Rs. 500 Cr target in 2-3 years; gas and water meters are next adjacency." Our read: Real optionality but early stage — do not model into base case. Tag: EST. Tone: Bullish.

C4 — OPERATING AND BUSINESS METRICS

- FY26 meter installations (RDSS own AMISP): 87 lakh | Q4 FY26 alone: 30 lakh | Trend: Accelerating strongly in H2
- AMISP projects at OGL: 24/24 (100%) | Q3 FY26: same | Trend: Complete — all projects billing
- Order book (net of taxes): Rs. 25,173 Cr (Mar-26) vs Rs. 27,000 Cr (Dec-25) | Trend: Executing down; needs FY27 new wins to replenish
- Awarded meter base: 3.6 Cr total | 1 Cr installed | 2.75 Cr remaining (backlog for next 3 years)
- Manufacturing capacity: 18 million meters per annum | Plants: Jaipur, Haridwar, Guwahati
- Net debt: Rs. 1,573 Cr (Mar-2026) | Total borrowings: Rs. 2,302 Cr | Trend: Rising YoY

C5 — MARGIN DRIVERS

- Product mix shift to hardware-heavy early-phase installations: -200 to -400 bps impact | Recurring: Yes for next 2-3 years until mix shifts to service revenue | Expect gradual recovery by FY28
- Raw material cost inflation (copper, aluminium, comm. modules): -150 to -200 bps | Recurring: Yes in near-term | Management guiding full year FY27 at 18%; partial pass-through capability
- Operating leverage from scale (FY24-FY26 ramp): +300 bps tailwind during revenue scale-up | Recurring: Diminishing at current scale; next step-up needs new order wins
- Employee costs / platform G&A; growth: -50 bps | Recurring: Yes as Genus builds platform engineering team for annuity phase
- No material one-time items in Q4 FY26: Margin compression is structural-cyclical mix shift, not exceptional charges

C6 — GUIDANCE AND FORWARD SIGNALS

- FY27 Revenue [GUIDANCE]: Prior = "accelerating from FY26 Rs. 4,751 Cr" | New = Rs. 6,000-6,500 Cr | Delta: Raised | Credibility: High (5.3x order book coverage)
- FY27 EBITDA Margin [GUIDANCE]: Prior = ~19% | New = ~18% | Delta: Slightly cut | Credibility: Medium (RM cost trajectory uncertain)
- FY27 Meter installations [GUIDANCE]: Prior = 80-90 lakh | New = 1 crore+ | Delta: Raised | Credibility: High (all 24 projects at OGL)
- FY27 Working capital absorption [GUIDANCE]: "20% of incremental revenue" vs 40% in FY26 | Delta: Significant improvement guided | Credibility: Medium (depends on DISCOM payment velocity)
- FY27 Export contribution [GUIDANCE]: "Meaningful numbers from end of FY27" toward Rs. 500 Cr in 2-3 years | Delta: Maintained | Credibility: Low-Medium (nascent business)
- FY28-29 OCF [GUIDANCE]: "OCF will become positive in subsequent financial year" (i.e., FY28) | Delta: Long-range | Credibility: Medium

C7 — CAPITAL ALLOCATION

- Capex FY26: ~Rs. 350 Cr (est. from balance sheet changes) | vs FY25 ~Rs. 177 Cr | +98% YoY | Guwahati plant + AMI platform infrastructure investment
- Dividends FY26: Rs. 0 (0% payout) | vs FY25: 22% payout | Cash preserved for working capital — rational given negative FCF
- Working capital build FY26: ~Rs. 1,200 Cr incremental (est.) | ~40% of FY26 incremental revenue absorbed | Expected to halve in FY27
- Net debt FY26: Rs. 1,573 Cr | vs FY25 ~Rs. 836 Cr est. | +Rs. 737 Cr YoY increase | Trend: Rising but manageable (coverage 5.78x)

- Share buybacks: None in FY26 | No buyback expected until FCF turns positive

C8 — Q&A; HEAT MAP

- Q: "Addressable market and market share?" A: "31-32 Cr total; 7 Cr installed; 9 Cr tenders in FY27; Genus aims to maintain current share." | Tone: Transparent
- Q: "Working capital increase and cash flow impact?" A: "FY26: 40% of incremental cash absorbed; FY27: 20%; FY28+: net positive." | Tone: Transparent
- Q: "Margin trajectory given RM cost pressure?" A: "FY27 at ~18%; not expecting below 17%." | Tone: Hedged
- Q: "Export strategy?" A: "Rs. 500 Cr target in 2-3 years; meaningful from end FY27; smart gas/water meters globally." | Tone: Bullish
- Q: "Update on Tamil Nadu and Delhi tenders?" A: "Both expected in FY27; Tamil Nadu is a 3-crore meter mega-tender." | Tone: Transparent
- Dodged / watch-list for next quarter: (1) DISCOM receivable ageing breakdown by state; (2) FX hedging status on imported comm. modules; (3) Any renegotiation clauses in existing AMISP concession contracts.

C9 — RISKS FLAGGED

- RM cost inflation: Copper, aluminium, communication modules elevated | Flagged by: Mgmt | Prob: M | Impact: M | Timeline: Near-term FY27
- FX risk on imported components: Communication modules have FX exposure | Flagged by: Mgmt | Prob: M | Impact: M | Timeline: Near-term
- DISCOM payment delays: WC intensity tied to DISCOM payment velocity | Flagged by: Analyst | Prob: M | Impact: H | Timeline: Near-to-medium term
- New tender competition: Itron, Landis+Gyr for large state bids | Flagged by: Analyst | Prob: M | Impact: M | Timeline: Medium term
- RDSS policy modification: Government budget rationalisation | Flagged by: Analyst | Prob: L | Impact: H | Timeline: Medium-long term

C10 — ANALYST VERDICT

- Revenue visibility: **Intact** — Rs. 25,173 Cr order book; all 24 AMISP projects at OGL; FY27 guidance Rs. 6,000-6,500 Cr well-supported
- Margin trajectory: **Intact** — 18% guided for FY27; step-down from 19% is understood and proactively flagged by management
- Capital allocation quality: **Weakened** — Dividend cut to 0%; FCF deeply negative for 3rd year; debt Rs. 2,302 Cr and rising
- Competitive moat: **Intact** — 1 Cr cumulative installations; scale advantage; 8-10 year concession lock-in preserves moat
- Management credibility: **Intact** — Guidance consistent; margin compression flagged proactively; OGL milestone delivered as promised
- Valuation comfort: **Intact** — 14.3x Fwd P/E vs sector ~30x; significant re-rating potential if FCF normalises in FY28
- Conviction call: **Increased** — Q4 execution beat + all-24-OGL milestone + Rs. 6,000-6,500 Cr FY27 guidance lifts conviction to BUY
- Valuation snapshot: P/E = 16.6x (5Y avg ~35x) | EV/EBITDA = 11.6x | RoCE = 23.9% (3Y avg 19%)

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